TTM Technologies (TTMI)

AI PCB Pure Play

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*AI PCB Pure Play. Data Center & Networking is 40% of sales growing 91% YoY. N+M asymmetric PCB technology entering volume production with $600M H2 revenue expected. Book-to-bill 1.49 [8-K Q2 2026]. Inflection in Profitability. Record $1.0B quarterly revenue (+37%), record non-GAAP EPS of $0.99, EBITDA margins expanding to 16.6%. FY25 net margin of 6.1% doubled from 2.3% [10-K FY25]. Mispriced Growth. At $93.88 [Mkt 16-Oct-26], NTM P/E is 11.9x with PEG of 0.36 for a company growing 37%. Our $79.17 DCF base is below spot, but the earnings multiple suggests the market underappreciates the trajectory. Our framework screens it as a **Hold** with a $76.71 blended target, 18% below the current price.*

HOLD	$76.71	-18%	$93.88
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Inflection in Profitability. Record $1.0B quarterly revenue (+37%), record non-GAAP EPS of $0.99, EBITDA margins expanding to 16.6%. FY25 net margin of 6.1% doubled from 2.3% [10-K FY25].

Mispriced Growth. At $93.88 [Mkt 16-Oct-26], NTM P/E is 11.9x with PEG of 0.36 for a company growing 37%. Our $79.17 DCF base is below spot, but the earnings multiple suggests the market underappreciates the trajectory.

$1.004B	$0.99	$166.8M	1.49	40%	$4.4B
REVENUE (Q2 2026)	EPS (Q2 2026, NON-GAAP)	ADJ. EBITDA (Q2 2026)	BOOK-TO-BILL	DATA CENTER MIX	FY26 REVENUE OUTLOOK (RAISED)

The moat is structural

Data Center & Networking: 40% of sales, +91% YoY on AI buildout

Three scenarios make the valuation range explicit

The DCF values TTM Technologies across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$52.42**	-44%
Base	50%	**$79.17**	-16%
Bull	25%	**$96.09**	+2%

Bear ($52.42, -44%): Growth disappoints and multiples compress; the $52.42 target marks the downside case.

Bull ($96.09, +2%): Execution compounds and the multiple rerates; the $96.09 target marks the upside case.

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The probability-blended target implies -18% upside

Blended target: $76.71 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -18% upside from the $93.88 reference price.

$76.71

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

NTM P/E 11.9x [Mkt 16-Oct-26] DCF Base $79.17 vs $93.88 spot [Mkt 16-Oct-26] PEG 0.36 [Mkt 16-Oct-26] PEG of 0.36 is deeply cheap. DCF is slightly below spot, but earnings-based multiples disagree.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $76.71 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Data Center & Networking: 40% of sales, +91% YoY on AI buildout [8-K Q2 2026]

N+M asymmetric PCB technology entering volume production [8-K guid]

15-20% organic revenue growth targeted for 2027 and 2028 [8-K guid]

What to monitor

Nov 2026. Q3 2026 Earnings: data center mix targeted at 49% of sales.

H2 2026. N+M asymmetric PCB volume ramp; ~$600M revenue expected in H2 alone.

2027. Epiq $1.1B acquisition close adds AI-enabled radios and space compute.

$1.004B	$0.99	$166.8M	1.49
REVENUE (Q2 2026)	EPS (Q2 2026, NON-GAAP)	ADJ. EBITDA (Q2 2026)	BOOK-TO-BILL

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$2.9B	$602M	$177M
2024	$2.4B	$477M	$56M

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2023	$2.2B	$413M	$-19M
2022	$2.5B	$458M	$95M

Key risks

Cyclicality. PCB demand tracks electronics cycles; an AI capex pause would hit the data center segment hard. [10-K FY25]

M&A Execution. $1.1B Epiq acquisition adds integration and leverage risk. [10-K FY25]

Competition. Asian competitors compete on price; technology leadership (N+M) must be sustained. [10-K FY25]

Investment view

A Q3 miss or N+M yield issues would cut Growth and Trend. Continued 30%+ growth with margin expansion supports a higher multiple.

Hold. The $76.71 blended target implies -18% upside, balancing the $52.42 / $79.17 / $96.09 Bear / Base / Bull targets.

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Upcoming catalysts

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